

Table 63.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the formation height (highest high minus lowest low) and add it to the highest high. The result is the target price. The bottom portion of this table shows how often it works.
Early entry	If the pattern has the highest high between the first two valleys, use the last peak (between the last two valleys) in the chart pattern as the breakout price.
Trendline break	A close above a down-sloping trendline joining the highs between the valleys can serve as the breakout price.
Wait for confirmation	Wait for price to confirm the pattern. Usually this event is a close above the highest high.
Stop location	See Table 63.7 for guidance.

Description	Bull Market	Bear Market
Percentage reaching quarter height target	88%	81%
Percentage reaching half height target	75%	59%
Percentage reaching full height target	57%	30%
Percentage reaching 2× height target	38%	13%

As a check on the projected gain, turn the height into a percentage move. In this example, the height of 2.14 as a percentage of the high (9.52) would mean a rise of 22%. [Table 63.3](#) indicates that 39% will fail to rise more than 20% (the closest row to 22%) in a bull market. That finding means fewer than 61% will hit the target. If the success rate is too low, then reduce your target price and look for nearby overhead resistance where price might stall.

Early entry. Usually, the highest high in the pattern marks the breakout price. Sometimes, like that shown in [Figure 63.3](#), the highest high occurs between the first two valleys. Use the high between the second and third valley (point A in this case) as the confirmation price. That strategy will get you into the trade sooner than using the highest high.